

City of Folsom
Developer Impact Fee Compliance 2025
Water Impact Fund

Fund 456

Section 13.30.010 of the Folsom Municipal Code establishes the provision for collection of a Water Impact Fee. On October 31, 1988, the Folsom City Council approved and adopted its General Plan (the "General Plan") identifying proposed growth within the city limits and further identifying the impacts of such growth upon public facilities within the city including the impacts on water supply and the water supply system. The City of Folsom water master plan dated December 1998 (Water Plan) was adopted by the City Council on May 25, 1999 by Resolution No. 6028. The water plan analyzed the City's present and projected water supply and facilities demands, and the costs of water conservation efforts within developed areas of the City.

Section 13.30.030 established a water impact fee which is imposed on the construction of all new commercial, industrial and residential buildings that are to be served with water supplies owned and treated by the City. This fee shall be imposed on all new construction within the City, unless such property is otherwise exempt as provided for in Section 13.30.070 of this chapter. The fee established by this chapter is in addition to any other fees or charges or taxes that are required by law or City code as a condition of development. (Ord. 912 § 1 (part), 1999).

WATER IMPACT FUND FEE SCHEDULE

Use Category	Basis	Fee Amount
Single Family Residential	Per Unit	\$ 1,148
Multi-Family Residential	Per Unit	\$ 618
Commercial	Per Acre	\$ 1,545
Industrial / Office	Per Acre	\$ 1,545

**Statement of Revenues Expenditures and Changes in Fund Balance
for Last Five Fiscal Years**

Description	FY 2020/21	FY 2021/22	FY 2022/23	FY 2023/24	FY 2024/25
Revenues					
Fees	\$ 67,733	\$ 127,619	\$ 137,511	\$ 321,149	\$ 26,510
Interest	\$ 26,224	\$ 24,747	\$ 68,913	\$ 108,947	\$ 122,302
Other Revenues	\$ 454,001	\$ 36,746	\$ 35,357	\$ 26,529	\$ 22,736
Total Revenues	\$ 547,959	\$ 189,112	\$ 241,781	\$ 456,625	\$ 171,548
Expenditures					
AB 1600 Expenditures	\$ 184,902	\$ 135,437	\$ 104,088	\$ 75,797	\$ 11,984
Other Expenses	\$ 47,139	\$ 195,351	\$ 216,603	\$ 128,883	\$ 258,897
	\$ 232,041	\$ 330,788	\$ 320,691	\$ 204,680	\$ 270,881
Revenues less Expenditures	\$ 315,918	\$ (141,676)	\$ (78,910)	\$ 251,945	\$ (99,333)
Fund Balance, Beginning of Year	\$ 2,457,446	\$ 2,773,364	\$ 2,631,688	\$ 2,552,778	\$ 2,804,723
Fund Balance, End of Year	\$ 2,773,364	\$ 2,631,688	\$ 2,552,778	\$ 2,804,723	\$ 2,705,390
Available Fund Balance	\$ 2,773,364	\$ 2,631,688	\$ 2,552,778	\$ 2,804,723	\$ 2,705,390

Water Impact Fund

Five Year Revenue Test Using First In First Out Method

Available Revenue Current Year	\$ 547,959	\$ 189,112	\$ 241,781	\$ 456,625	\$ 171,548
Available Revenue Prior Fiscal Year (2-yr Old Funds)	\$ 307,896	\$ 547,959	\$ 189,112	\$ 241,781	\$ 456,625
Available Revenue Prior Fiscal Year (3-yr Old Funds)	\$ 425,079	\$ 307,896	\$ 547,959	\$ 189,112	\$ 241,781
Available Revenue Prior Fiscal Year (4-yr Old Funds)	\$ 519,340	\$ 425,079	\$ 307,896	\$ 547,959	\$ 189,112
Available Revenue Prior Fiscal Year (5-yr Old Funds)	\$ 216,364	\$ 519,340	\$ 425,079	\$ 307,896	\$ 547,959
Available Revenue Greater than Five Prior Fiscal Years	\$ 756,726	\$ 642,302	\$ 840,951	\$ 1,061,350	\$ 1,098,365
Total Revenue Available	\$ 2,773,364	\$ 2,631,688	\$ 2,552,778	\$ 2,804,723	\$ 2,705,390

Notes:

The Water Impact Fee Fund reports funds being held beyond the five-years as described by AB1600. The funds will be reserved until sufficient funds are accumulated to support future water capital improvements. The fund will also be utilized for rebates to customers to reduce water use (\$300,000).